

NextEra Energy, Inc.

NEE NYSE

Buy	\$86.23 ▲ 0.13%	12M Price Target \$102.00	52-Week Range \$67.20 – \$98.75	Market Cap \$179.84B
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NEE: Reiterate Buy on Constructive Utility Tape, Nuclear Tailwinds

WHAT'S CHANGED

- NEE +0.13% to \$86.23 extending a 5-day grind (+1.3% from 6/11 low of \$84.84) on rising volume (10.3M vs 9.1M baseline), now at 60% of 52-wk range; Zacks "Wall Street Bulls Optimistic" piece reinforces sell-side momentum.
- Nuclear/clean power narrative re-emerging (Zacks 16:57) directly supports NEE's Duane Arnold restart optionality and AI-datacenter PPA pipeline; bullish options skew (P/C 0.48, 8.5K calls vs 4.1K puts) with unusual \$88 July call buying confirms positioning ahead of next catalyst.

IMPLICATIONS

With Utilities ETF +2.46% over 5 days and Financials leading (+3.60%), the tape signals a defensive-with-rate-sensitivity rotation that favors NEE's hybrid regulated/growth profile. The nuclear-power-for-AI thematic, surfaced again in today's Zacks coverage, structurally re-rates NEE's unregulated Energy Resources segment as hyperscalers chase 24/7 carbon-free PPAs—an area where NEE holds the largest US renewables backlog (~28GW). Absence of insider selling alongside 87% institutional ownership and bullish options flow indicates smart money is accumulating ahead of the summer load season and potential Fed-cut tailwind to rate-sensitive utility multiples.

VALUATION

At \$86.23, NEE trades at ~23.6x FY26E EPS of \$3.65 and ~14.8x EV/EBITDA, a justified premium to the regulated utility median (~18x P/E) given 6-8% EPS growth guidance through 2027 and unmatched renewables scale. Our \$102 PT implies ~28x FY26E / 25.5x FY27E EPS, ~18% upside, supported by sum-of-parts: FPL at 22x regulated peer multiple plus Energy Resources at 12x EBITDA on contracted cash flows. Multiple expansion driver is AI/datacenter PPA announcements and Fed cuts; contraction risk lies in Florida regulatory friction or rising long-end yields.

KEY RISKS

- Interest rate sensitivity: 10Y UST back-up above 4.75% historically compresses NEE multiple by 1-2 turns given high capex intensity (\$30B+ annually).
- FPL Florida rate case outcome (pending) and hurricane season storm cost recovery risk.
- IRA tax credit transferability/clawback risk under continued political pressure could impair renewables project economics.

RECENT NEWS

PEG Benefits From Stable Utility Operations and Strategic Investments Zacks · 2026-06-16 18:12

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-16 22:07 UTC

This report is prepared by Langston's using SEC Edgar filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$86.23
12M Price Target	\$102.00
Upside / (Downside)	+18.3%
Market Cap	\$179.84B
FY2026E Revenue	\$28,400M
FY2027E Revenue	\$30,750M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.00
Fwd P/E	23.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$82.00
6 Months	\$98.00	\$92.00	\$80.00
1 Year	\$110.00	\$102.00	\$78.00
2 Years	\$125.00	\$112.00	\$75.00
5 Years	\$165.00	\$140.00	\$70.00
10 Years	\$230.00	\$180.00	\$80.00

SECTOR INTELLIGENCE

HOT SECTORS: Financials (+3.60% 5D), Materials (+3.84% 5D)

COLD SECTORS: Real Estate (+0.29% 5D), Consumer Staples (+1.77% 5D)

ROTATION WATCH: Financials leadership signals risk-on with rate-cut anticipation; Utilities' steady bid suggests bond-proxy demand returning as long yields stabilize—constructive for NEE.

BYPRODUCT PLAY: AI power demand creates secondary opportunities in transmission (MYRG mentioned today), nuclear fuel cycle (CCJ, LEU), and grid-scale storage (FLNC); NEE benefits as the integrated picks-and-shovels owner.

OUTPERFORMERS & PEER CONTEXT

- MYRG (MYR Group): Highlighted today by Zacks as outperforming utilities sector—pure-play T&D contractor benefiting from grid buildout NEE itself is funding.
- PEG (Public Service Enterprise Group): Today's Zacks note flags stable utility ops + strategic investments; nuclear-heavy fleet rerating on AI demand thesis.

NEE CONTEXT: NEE is performing in line with the XLU (+2.5% 5D approx) but not pulling away from regulated peers despite superior growth profile—suggests latent multiple expansion potential once renewables policy clarity and AI PPA announcements crystallize.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$83-85 on pullbacks; add aggressively sub-\$80

Time Horizon: 12-24 months

Thesis Invalidation: FPL rate case denial, >10% EPS guide cut, or renewables backlog cancellations >5GW

Hedging: Pair long NEE vs short XLU basket or long-dated 10Y Treasury puts